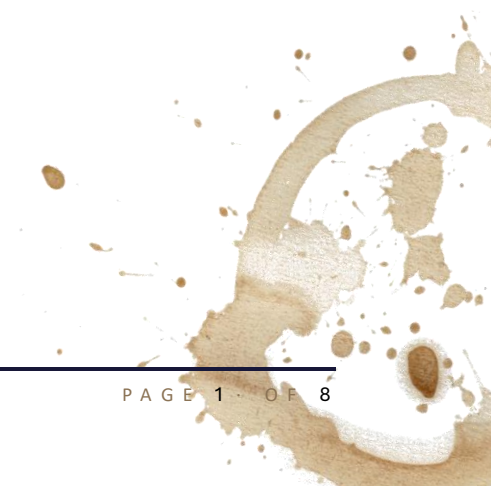

The Rich Report

U.S. ECONOMICS NEWS

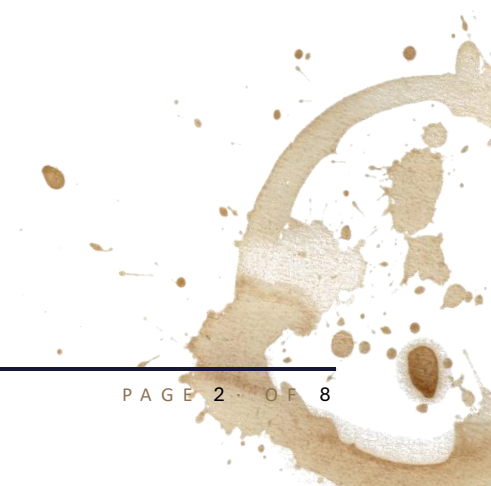
- ◆ **Inflation Sticky:** The Fed's preferred gauge rose 0.2% in July, holding the annual rate at 3.7% — hotter than the 3.6% economists expected — while core PCE ran 3.3%, still well above the 2% target. Inflation remains stubborn despite easing from May's three-year peak, as the Iran war continues pushing energy costs higher with gas near \$4 and diesel at \$5.60.³
- ◆ **Warsh's Debut:** In his first Jackson Hole keynote, Fed Chair Kevin Warsh said inflation remains too high and signaled the central bank may need to raise rates in the coming months. He acknowledged summer readings came in better than expected but said they do not show underlying trends have meaningfully improved, declaring "we have work to do" if inflation is not clearly moving toward target — while refusing to commit to forward guidance or a defined reaction function.³
- ◆ **Hike Odds Jump:** Following Friday's speech, 55% of bond traders now expect a rate hike at the September meeting, up from roughly a third the day before. Markets read the address as hawkish — Treasury yields moved sharply higher, and Warsh noted inflation has run above trend for 65 straight months, against a backdrop of controversial Treasury interventions after early-August bond market turmoil.³
- ◆ **Growth Sluggish:** Second-quarter GDP was confirmed at a 1.5% annualized pace, matching the government's first estimate — an economy still expanding but under pressure from stubborn prices, leaving the Fed to weigh weak growth against inflation that refuses to bend.³
- ◆ **Consumers Retrench:** Americans pulled back on spending in July while the savings rate recovered to 3% from June's four-year low of 2.6%. Economists note continued private employment growth is what ultimately determines spending power, making the coming week's labor data critical — and while recession expectations ticked up, most consumers still see one as unlikely over the next 12 months.³



The Rich Report

DIGITAL ASSETS NEWS

- ◆ **August ETF Inflows Hit Record \$3B:** Bitcoin ETFs attracted over \$3 billion in net inflows during August 2026, surpassing every prior month since the funds launched and running approximately double April's \$1.5 billion — previously the 2026 high-water mark. The surge signals renewed institutional appetite, likely fueled by macro uncertainty and bitcoin's resilience above key price levels throughout the month.⁵
- ◆ **Quantum Fix:** Bitcoin researchers proposed SHRINCS (Short Hash-based Ring-based Incremental Non-interactive Compact Signatures), a novel post-quantum signature scheme designed to address a critical tradeoff: while existing quantum-resistant designs like SPHINCS+ would dramatically inflate transaction sizes and reduce network throughput, SHRINCS aims to maintain Bitcoin's current capacity by producing significantly more compact signatures compatible with the blockchain's constrained block space.⁵
- ◆ **AI Agents Pay Crypto:** As autonomous AI agents proliferate — booking services, executing trades, licensing data — they'll need to transact with each other at machine speed, without human intermediaries. Industry leaders broadly agree this creates urgent demand for a programmable, permissionless payment layer. The fault lines emerge over architecture: purpose-built agent-payment protocols versus adapting existing chains like Ethereum or Solana, with billions in infrastructure investment hanging in the balance.⁵



The Rich Report

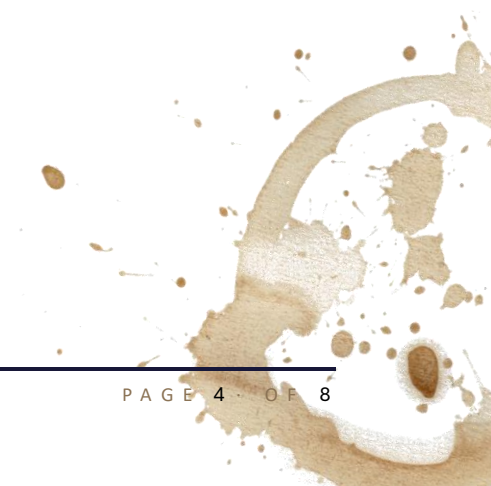
GEOPOLITICS NEWS

- ◆ **EU:** Six net-contributor EU countries — Germany, Denmark, the Netherlands, Austria, Finland, and Sweden — have jointly called for cuts of several hundred billion euros to the European Commission's proposed €2 trillion budget for 2028-2034. They want spending reductions across all areas while prioritizing defense, competitiveness, and migration, and they explicitly oppose new joint EU borrowing.¹
- ◆ **Greece:** Israel and Greece signed a €3 billion arms deal under which Israel will build Greece a multi-layered air defense system using Israeli-made technology. The deal draws explicitly on operational experience Israel gained during its war with Iran, marking a significant expansion of Israeli defense exports.¹
- ◆ **Japan:** Japan's Defense Ministry submitted an 8.9 trillion yen (\$55.6 billion) budget request for the coming fiscal year, emphasizing drones, AI, and counterstrike missile capabilities. The budget continues Japan's doubling of defense spending to 2% of GDP that began in 2022, aimed at countering China's military growth — which Beijing has labeled "new militarism."¹
- ◆ **Russia:** Putin signed a decree giving the government sweeping powers to temporarily seize and manage privately owned industrial facilities — including factories and energy infrastructure — whose owners have failed to protect them from drone attacks or other security threats. The move extends a broader Kremlin trend of nationalization that has absorbed over 800 private companies since 2022.¹
- ◆ **Russia/Ukraine:** Russian forces have adopted a new tactic of launching continuous, around-the-clock jet-powered drone waves against Kyiv, rather than overnight barrages, leaving residents unable to rest and air defenses strained. The high-speed drones are difficult to intercept and represent an escalation at a time when Ukraine's broader air defense stockpiles are already critically depleted.¹
- ◆ **US/NATO:** The U.S. military faces a "beyond critical" shortage of Patriot missile interceptors in Europe, driven largely by consumption during the Iran war. NATO officials warn the shortfall leaves allied territory vulnerable to Russian ballistic missile attack, with the U.S. potentially unable to defend military infrastructure in the way Ukraine could not.¹
- ◆ **US/Venezuela:** The Trump administration is in advanced talks to acquire a direct U.S. government stake in at least 17 Venezuelan oil fields holding roughly 90 billion barrels of proven reserves. The deal would be structured to draw in private U.S. operators and reassure investors skittish about Venezuela's historically chaotic oil sector under Maduro-era mismanagement.¹

The Rich Report

THE GOOD NEWS

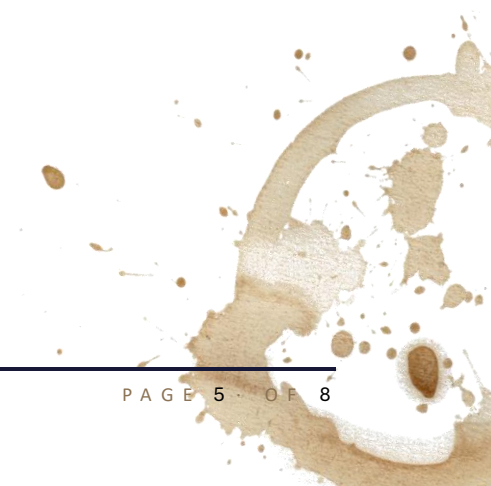
- ◆ **Next-Gen Geothermal:** Sage Geosystems has successfully run a 3-megawatt enhanced geothermal plant near San Antonio for over 120 days, becoming only the third such facility online in the U.S. Unlike traditional geothermal, which requires rare geological conditions, Sage's system drills into hot dry rock anywhere and fractures it to extract heat — potentially unlocking on-demand clean electricity across vast new geographies.²
- ◆ **AI Math & Science:** Large language models are measurably accelerating scientific discovery — cyber vulnerability research has surged, and mathematical results are being found at a faster pace. Experts note this likely understates the true effect, as many AI-driven breakthroughs at research labs remain undisclosed, suggesting the publicly visible acceleration is only a fraction of the actual progress underway.²
- ◆ **Lab Automation Standard:** A new Model Hardware Standard (MHS) from Arcadia is cutting lab equipment integration time from weeks to hours, allowing AI agents to simultaneously operate microscopes, liquid handlers, robotic arms, and other instruments across research and manufacturing facilities. The system enables autonomous, round-the-clock experiments with real-time parameter adjustments and self-recovery from hardware errors — dramatically compressing the timeline for drug discovery and advanced manufacturing.²



The Rich Report

DIVIDEND PORTFOLIO NEWS

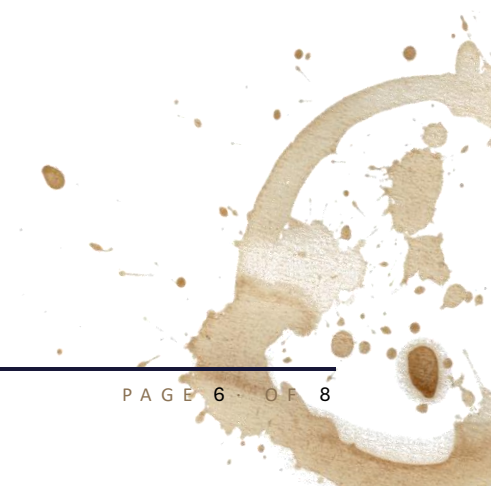
- ◆ **ABT:** FDA approved Abbott's wearable biosensor that simultaneously measures both glucose and ketone levels — a first-of-its-kind device expanding beyond its established CGM franchise.⁴
- ◆ **GD:** General Dynamics and Lockheed Martin jointly secured 7-year missile agreements with the U.S. government.⁴
- ◆ **LMT:** Lockheed and GD locked in 7-year missile contracts. F-35 program costs rose \$51B due to upgrades and readiness investments. Tata Advanced Systems and U.S. contractors are planning Javelin missile production in India, expanding LMT's international manufacturing footprint.⁴
- ◆ **LRCX:** Lam Research raised its quarterly dividend 26.9% to \$0.33/share, signaling management confidence despite mixed sector sentiment.⁴
- ◆ **NTR:** CHS and OCP proposed a \$450M fertilizer plant in Louisiana, representing new domestic competition in nitrogen/phosphate production. This adds supply-side pressure potentially relevant to Nutrien's North American pricing environment.⁴
- ◆ **NWG:** NatWest Group is reportedly planning a U.S. expansion, a strategically significant move for the largely UK-focused bank. Entry into the competitive U.S. market would mark a notable geographic diversification shift.⁴



The Rich Report

GROWTH PORTFOLIO NEWS

- ◆ **CVX:** Chevron is at the center of a major Venezuela oil deal. Trump announced a sweeping agreement covering 65B barrels of reserves, with Chevron and Halliburton in talks to invest billions in Venezuelan fields. Trump also plans to refill the U.S. strategic reserve with Venezuelan crude. Costs and timelines remain unclear, and Venezuela is reportedly considering exiting OPEC.⁴
- ◆ **EIX:** Edison International fell sharply after California's SB 492 failed to include wildfire liability protection for utilities, and lawmakers separately blocked Newsom's wildfire insurance plan. The dual legislative setbacks remove a key legal shield investors had hoped for, reinforcing EIX's regulatory and litigation risk.⁴
- ◆ **FTNT:** Fortinet rose 10% to a new 52-week high amid an enterprise software sector rally following strong Salesforce results.⁴
- ◆ **MRVL:** Marvell reported Q2 non-GAAP EPS of \$0.94 (beat by \$0.01) and revenue of \$2.74B (beat by \$30M), with record data center revenue. However, guidance disappointed Wall Street, which wanted more detail on Google revenue contribution.⁴
- ◆ **NOW:** ServiceNow surged 10% amid a broad enterprise software rally following Salesforce's strong results and pushback on "SaaS apocalypse" fears.⁴
- ◆ **NVDA:** Nvidia delivered blockbuster Q2 results — non-GAAP EPS \$2.22 (beat by \$0.13), revenue \$96.22B (beat by \$4.06B), with Data Center revenue above \$89B. Fiscal 2028 guidance implies ~70% revenue growth; gross margin reset to 72-73%. Additional highlights: AWS partnership for 2M GPUs, MediaTek \$3.5B AI collaboration, reported \$12.9B Hugging Face acquisition.⁴
- ◆ **OKE:** ONEOK announced a \$4.42B acquisition of Permian Basin midstream assets from Brazos Midstream, expanding its footprint in one of the most active U.S. oil-producing regions. The deal is a significant bolt-on that strengthens ONEOK's gathering and processing infrastructure in a high-growth basin.⁴



The Rich Report

SUMMARY

In regard to the United States Economy, inflation held firm in July at 3.7% annually, hotter than expected. In his first Jackson Hole keynote, Federal Reserve Chair Kevin Warsh warned that inflation remains too high and signaled rates may need to rise in the coming months, and a majority of bond traders now expect a September hike. Consumer confidence slipped for a second month, second-quarter growth was confirmed at a sluggish 1.5%, and households pulled back on spending despite stronger factory orders.

In the world of digital assets, Bitcoin ETFs pulled in more than \$3 billion of net inflows during August, a record month for the funds and roughly double April's previous 2026 high. Researchers proposed a new post-quantum signature scheme designed to protect Bitcoin without bloating transaction sizes, while the industry debated what payment rails autonomous AI agents will use as they begin transacting with one another at machine speed.

Recently around the globe, six net-contributor nations pushed back on the European Commission's proposed €2 trillion budget, Israel signed a €3 billion deal to build Greece a layered air defense system, and Iran's regime remained intact six months into the war despite a tightening blockade. Japan requested a record defense budget focused on drones and counterstrike missiles, Russia claimed sweeping powers to seize private industry while pounding Kyiv with around-the-clock drone waves, NATO confronted a critical Patriot interceptor shortage, and Washington negotiated for a direct stake in Venezuelan oil fields.

For the good news, a next-generation geothermal plant near San Antonio has now run for more than 120 days, proving a drilling approach that could unlock clean power far beyond traditional hot spots. Artificial intelligence is measurably accelerating mathematical and scientific discovery, and a new hardware standard is letting automated labs run around-the-clock experiments, compressing timelines for drug development.

In the news for the dividend portfolio, Abbott won approval for a first-of-its-kind wearable sensor measuring both glucose and ketones, General Dynamics and Lockheed Martin locked in seven-year missile agreements with the government, and Lam Research raised its dividend nearly 27%. A proposed \$450 million fertilizer plant in Louisiana introduced new supply competition for Nutrien, while NatWest laid plans for a United States expansion.

And, for the growth portfolio, Nvidia delivered another blockbuster quarter with revenue above \$96 billion and guidance implying roughly 70% growth, while Marvell posted record data center sales but fell on soft guidance. Fortinet and ServiceNow surged in a broad enterprise software rally, ONEOK announced a \$4.4 billion Permian midstream acquisition, Chevron sat at the center of a sweeping Venezuela oil agreement, and Edison International slid after California lawmakers withheld wildfire liability protection.

The Rich Report

RESOURCES

- ◆ Research accumulated from <https://www.patreon.com/cw/PeterZeihan>, <https://x.com/>, and <https://seekingalpha.com/>
- ◆ <https://newsletter.humanprogress.org/>
- ◆ Research accumulated from <https://www.ftportfolios.com/> and <https://bravosresearch.com/research/>
- ◆ <https://seekingalpha.com/>
- ◆ <https://www.coindesk.com/latest-crypto-news>

IMPORTANT INFORMATION

Paradiem, LLC is a Registered Investment Advisor. This material is provided solely for informational and educational purposes and should not be construed as personalized investment, legal, or tax advice, or as an offer to buy or sell any security. Advisory services are provided only pursuant to a written agreement. The opinions expressed reflect Paradiem's views as of the date of publication and are subject to change without notice based on market or other conditions. Forward-looking statements, forecasts, and expectations are inherently uncertain and are not guarantees of future results. References to specific securities, industries, or sectors are provided solely to illustrate our investment research and portfolio management process. They should not be considered recommendations to purchase, sell, or hold any security. Current holdings and portfolio allocations may change at any time without notice and may differ from those discussed herein. The securities discussed do not represent all securities purchased, sold, or recommended for client accounts. A complete list of recommendations made during the preceding twelve months is available upon request. Investing involves risk, including the possible loss of principal. Diversification and asset allocation do not ensure a profit or protect against loss. Past performance is not indicative of future results. While information contained herein is believed to be reliable, Paradiem makes no representation as to its accuracy or completeness. Investors should consult their financial, legal, and tax professionals before making any investment decisions.